consumer psychology or competitive strategy.

That makes assessment reform unavoidable. Traditional take-home assignments are increasingly vulnerable to automation. Greater emphasis should shift toward oral examinations, live case defences, boardroom presentations and field-based consulting projects where students must explain their reasoning rather than simply submit well-written answers.

THE GOVERNANCE CHALLENGE

Beyond misuse, three risks deserve equal attention. First, hallucination, where AI confidently invents facts or references.



THE GREATEST DANGER IS NOT THAT AI WILL REPLACE MANAGERS—IT IS THAT STUDENTS MAY OUTSOURCE THINKING

Second, bias, where historical prejudices embedded in training data influence hiring, lending or performance decisions. Third, deskilling, where students rely on AI before mastering fundamentals, creating managers who supervise technology they do not fully understand.

Technology should amplify expertise—not replace it.

India's policy environment is moving quickly. AICTE designated 2025 as the "Year of Artificial Intelligence", encouraging structured institutional AI action plans, while the Union Budget allocated ₹500 crore for AI Centres of Excellence in Education.

But national policy can only provide direction. Every business school board and academic council should publish a transparent AI policy covering classroom use, disclosure requirements, assessment standards, and data privacy.

WHAT NEEDS TO BE DONE

The following five actions matter most:

1. AI needs to be embedded across every discipline rather than confined to optional electives.

2. Faculty development must become a strategic investment so instructors can teach with these tools credibly.

3. Assessments need redesign around simulations, oral examinations, and live projects.

4. Ethics—including transparency, accountability, and data governance—should become a continuous thread throughout the curriculum.

5. Institutions should establish clear AI-use policies before regulation compels them to do so.

Recruiters also have a role to play. The strongest candidates will not be those who produce AI-generated answers fastest, but those who can challenge an AI recommendation when it is wrong.

MBA aspirants need to remember the same principle: a transcript filled with AI electives means little if the foundations beneath it remain weak.

THE FUTURE MBA

AI's most profound impact on management education will likely be a shift in emphasis. For decades, business schools devoted enormous effort to transferring knowledge. Today, much of that knowledge sits one prompt away. Information is becoming abundant.

The business school of the future will need to teach students how to work in an environment where:

- Information is abundant but not always reliable
- Models are powerful but not neutral
- Automation is fast but not necessarily wise
- Answers are easy to generate but difficult to validate
- Strategic choices still carry human, ethical, and social consequences

This is why critical thinking, negotiation, empathy, ethical reasoning, creativity, communication, problem-framing, decision-making under uncertainty and emotional intelligence will become more important—not less. AI may automate parts of analysis. It cannot take responsibility for a strategic decision. The more powerful AI becomes, the more valuable these distinctly human capabilities grow. The MBA of the future will spend less time delivering information and considerably more time developing judgement.

AI can generate recommendations; only leaders can make decisions. The MBA will survive and will be more relevant not because AI cannot do the work—but because leadership begins where algorithms stop. **BT**

Views are personal. The author is CEO, MDRA (Marketing & Development Research Associates)